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European Technology/Software

SAP SE

Rating

Outperform

Price Target

SAP.GR **273.00 EUR**

SAP: AI raises the prize. Can SAP capture it?

SAP's 3Q is less about beating numbers than proving its cloud transition can support durable 2027 growth. Our estimates are modestly above consensus, while proprietary installed-base analysis and ASUG survey data reveal a longer, less urgent migration cycle. We retain Outperform and our €273 price target.

Backlog resilience matters, but quality matters more. Consensus expects current cloud backlog growth to moderate to 24% at constant currencies following 25% in 1Q and 26% in 2Q. That would remain healthy. However, we believe investors should distinguish organic growth supported by disciplined pricing from a headline sustained through acquisitions, incentives or more flexible terms.

The migration runway is longer, but customers have less reason to rush. Our analysis suggests 57% of ECC customers have migrated to S/4, leaving 43% outstanding and that does not count the S/4 on-premises migration opportunity.This supports several more years of conversion, although extended maintenance options, implementation complexity and fragmented deployment choices may slow migration and dilute cloud value capture.

AI strengthens SAP's strategic position, but monetization remains unproven. Data from the US user group ASUG show AI already influences 48% of customers' S/4 strategies, particularly around data, migration and finance workflows. Yet interest is not revenue: contract uplift, production usage and gross profit remain unclear, while cloud gross margin has weakened as investment accelerates.

Investment Implications

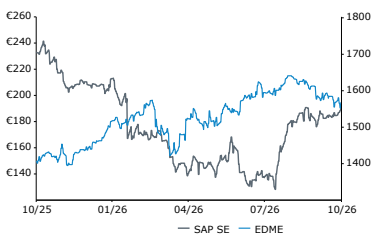
We remain Outperform because the migration engine is intact and expectations look achievable. A roughly 24% CCB growth, solid cloud conversion and recovering cloud margins would reinforce our confidence into 2027. The key risk is not a migration collapse, but slower decisions, softer contract economics and AI costs arriving before revenue.

Close Date	8 Oct 2026
SAP.GR Close Price (EUR)	188.70
Price Target (EUR)	273.00
Upside/(Downside)	45%
52-Week Range	244.30/127.44
EDME	1,567.06
FYE	Dec
Div Yield	1.3%
Market Cap (EUR) (M)	234,939
EV (EUR) (M)	234,326

Performance	YTD	1M	6M	12M
Absolute (%)	(8.2)	6.0	35.8	(19.7)
EDME (%)	6.6	(1.1)	2.8	11.9
Relative (%)	(14.8)	7.0	33.0	(31.5)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E
SAP.GR (EUR)	6.10	7.71	8.72

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	36,800	40,522	46,263	12.1%
Operating Earnings (M)	--	--	--	--
Net Earnings (M)	--	--	--	--
Revenue/Share	--	--	--	--
Operating Margin (%)	--	--	--	--
Net Income Margin (%)	19.5	21.9	20.9	--
EPS Growth (%)	36.0	26.3	13.1	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	30.9	24.5	21.6
PEG Adjusted (x)	0.9	0.9	1.7
EV/Sales (x)	6.4	5.8	5.1
P/Sales (x)			
PEG Reported (x)	0.9	0.9	1.7
EV/EBIT (x)	22.2	19.9	16.8
Div Yield (%)	1.2	1.3	1.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

WHERE ARE WE COMPARED TO CONSENSUS?

SAP is scheduled to report on 21 October after market close. Following a solid 2Q26 print (beat on current cloud backlog (CCB) growth and miss on margins), we believe that investor attention is likely to remain focused on CCB growth momentum, the sustainability of cloud revenue growth, and the traction heading into 2027 rather than on simple revenue or margin beat.

We sit modestly above Visible Alpha consensus across most key metrics, including total revenue and operating margin (Exhibit 1), while in line on cloud revenue. We forecast total revenue of €10.2bn (+11% at constant currencies [cc]), a non-IFRS operating margin of 29.4% (+110bp), and EPS of €2.12, vs consensus of €10.1bn, 29.3%, and €1.78, respectively.

Cloud revenue remains the primary growth driver. We anticipate cloud subscription to grow 23% cc to €6.6bn, in line with consensus. While growth is moderating from the higher levels achieved over the past six quarters, we believe the cloud transition continues to be supported by ongoing S/4 migration (from ECC customers) and Cloud ERP adoption (from both ECC and S/4 on-premises clients).

We believe that CCB growth will remain the most closely watched indicator for investors. Following two successive beats in 1Q and 2Q, Visible Alpha consensus expects growth of +24% cc for 3Q, implying a modest deceleration compared to previous quarters (1Q +25% cc, 2Q +26% cc). Consensus currently forecasts CCB growth of c.23% cc for FY26 vs FY25's +25% cc, in line with management's message of a deceleration expected for this year. We believe a stable mid-20s CCB growth trajectory would be sufficient to support SAP's cloud revenue targets and reassure investors that persistent macro uncertainties would not have a significant impact on the S/4 migration cycle.

On the margin side, we continue to think that SAP can easily manage its cost base as this is a key focus for management, which translate into consistent margin improvement over time.

EXHIBIT 1: **SAP 3Q26 estimates: Bernstein modestly above consensus, except cloud**

€m	3Q25	3Q26 estimates				Delta BERN
	Actual	Bernstein	*Change*	Consensus	*Change*	vs cons.
Total revenue	9,076	10,195	*12%*	10,116	*11%*	0.8%
Growth at constant currencies (%)	11%	11%	*0bp*	11%	*0bp*	0bp
- o/w cloud subscription revenue	5,290	6,564	*24%*	6,569	*24%*	-0.1%
Growth at constant currencies (%)	27%	23%	*-400bp*	23%	*-400bp*	0bp
- o/w maintenance revenue	2,565	2,422	*-6%*	2,387	*-7%*	1.5%
Growth at constant currencies (%)	-5%	-7%	*-200bp*	-8%	*-300bp*	+100bp
- o/w license revenue	161	121	*-25%*	122	*-24%*	-0.8%
Growth at constant currencies (%)	-42%	-25%	*nm*	-25%	*nm*	nm
Non-IFRS operating income	2,567	2,993	*17%*	2,961	*15%*	1.1%
Non-IFRS operating margin (%)	28.3%	29.4%	*+110bp*	29.3%	*+100bp*	+10bp
Non-IFRS EPS (€)	1.58	2.12	*34%*	1.78	*13%*	19%

Source: SAP (FY to end-December), Visible Alpha consensus (data as of 7 October), Bernstein analysis and estimates

WHAT ABOUT THE FY26 OUTLOOK?

We expect SAP to reiterate its FY26 guidance at constant currencies (Exhibit 2). Both Bernstein and Visible Alpha consensus are currently in line with management's guidance on cloud revenue. However, both consensus and our estimates are slightly ahead of the midpoint of cloud and software revenue guidance.

EXHIBIT 2: **SAP FY26 outlook: Estimates already sit around SAP's guidance**

	SAP guidance for FY26 at end-2Q26			Pre-3Q Visible Alpha consensus		Bernstein
	At constant currencies (cc)	FX assumptions	Implying on reported terms	At const. curr.	Reported terms	estimates
Cloud revenue	+23-25% cc to €25.8-26.2bn	-1.5pp	€25.5-26.0bn, with mid-point at €25.8bn	+24% cc	€25.8bn	€25.8bn
Cloud and software revenue	+12-13% cc to €36.3-36.8bn	-1.5pp	€36.0-36.3bn, with mid-point at €36.1bn	+12% cc	€36.2bn	€36.3bn
Operating income	+13-17% cc to €11.8-12.2bn	-2.0pp	€11.6-12.0bn, with mid-point at €11.8bn	+15% cc	€11.8bn	€11.8bn
FCF			c.€10.0bn		€9.9bn	€10.0bn

Source: SAP (FY to end-December),Visible Alpha consensus (data as of 7 October), Bernstein analysis and estimates

WHAT ARE THE KEY INVESTOR DEBATES?

Based on our discussions with investors, we believe that they are less focused on the quarter itself and more on a number of key strategic debates that will shape SAP's medium-term outlook. These discussions center on the sustainability of cloud backlog growth, the ability of AI initiatives to generate meaningful revenue and accelerate the migration to S/4, the durability of margin expansion. Collectively, these debates will determine, in our view, whether SAP can continue to deliver strong growth and profitability while successfully navigating a rapidly evolving technology and macroeconomic environment.

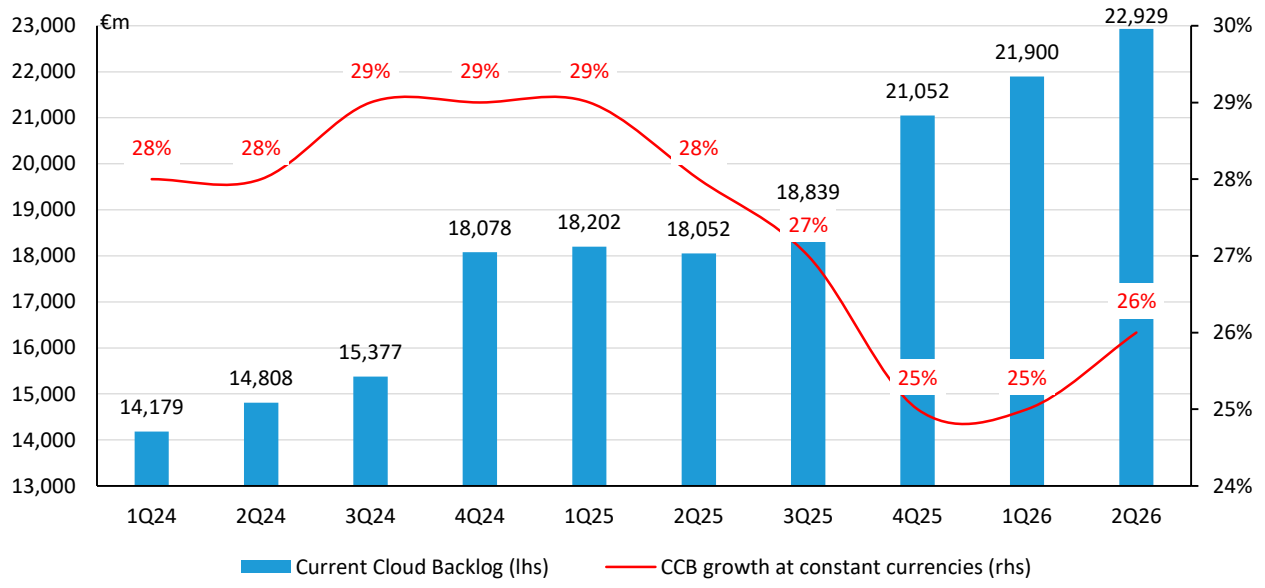
In short, we believe that the central question is whether SAP can convert a still-healthy migration cycle into durable 2027 growth while proving that AI strengthens, rather than dilutes, the economics of the cloud transition.

DEBATE 1: BACKLOG: RESILIENT, BUT IS THE QUALITY HOLDING?

CCB remains the clearest near-term indicator of demand, but the debate is shifting from how fast backlog grows to how much value SAP retains inside that growth.

SAP reported CCB growth of 25% cc in 1Q and 26% cc in 2Q. Visible Alpha consensus expects 24% cc growth in 3Q, implying a modest slowdown. SAP has also indicated that CCB growth should decelerate during FY26 relative to FY25's +25% cc.

EXHIBIT 3: **CCB remains resilient, but growth quality is the real test**



Source: SAP (FY to end-December), Bernstein analysis

Bull case: Mid-20s growth would show real durability

SAP has sustained mid-20s CCB growth despite macro and geopolitical uncertainty, supported by an active migration cycle and improving 2H pipeline. With Reltio contributing less than 1pp to 2Q growth, most of the momentum remains organic.

A 3Q result close to the 2Q pace would reinforce the view that ERP modernization remains a customer priority and increase confidence in healthy cloud revenue growth into 2027.

Structural tailwinds remain powerful. ECC end of life creates a natural migration trigger, while the Cloud offers greater functionality and is increasingly necessary to fully leverage AI. This is before considering the longer-term opportunity to upsell AI.

Bear case: The headline may hide softer economics

The risk is less that migration demand collapses and more that SAP needs stronger pricing concessions, migration incentives or contractual flexibility to sustain backlog growth.

That distinction matters. **A 24% CCB growth result achieved with disciplined pricing is economically different from the same growth supported by richer concessions.** Headline growth could remain strong while contract economics deteriorate.

Acquisitions also blur the picture. Reltio added less than 1pp to 2Q growth, making the organic CCB trajectory the cleaner indicator of underlying momentum.

What would settle the debate?

We would focus on four things: **1)** acquisition-adjusted CCB growth; **2)** pricing, incentives and deal scope; **3)** conversion of the stronger 2H pipeline into signed contracts; and **4)** the bridge from 3Q performance to year-end and the opening backlog for 2027.

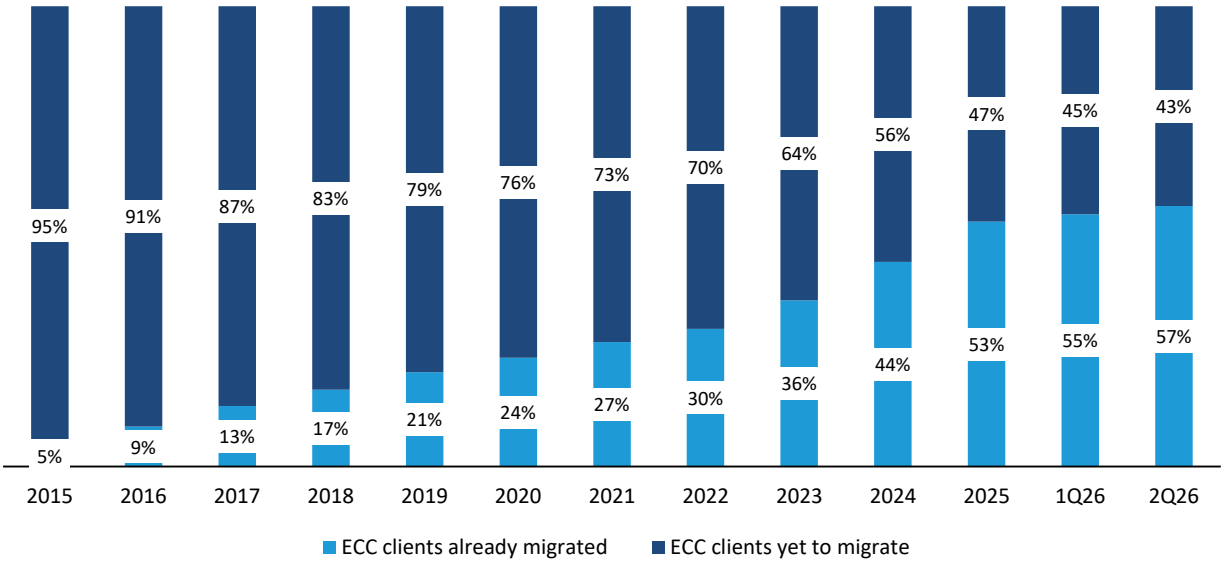
A modest slowdown would not concern us if it reflects deal timing into 4Q rather than cancellations or downsizing. Conversely, **stable headline growth supported by M&A or weaker contract economics would be less reassuring than it looks.**

DEBATE 2: MIGRATION: A LONGER RUNWAY, BUT LESS URGENCY

The migration opportunity remains meaningful, in our view, but the old deadline-driven investment case is giving way to a slower and more economically complex modernization cycle.

We estimate that 57% of existing ECC customers had migrated to S/4 by 2Q, leaving approximately 43% yet to migrate. The September 2026 survey from the US user group ASUG also shows that the proportion of US respondents already live on S/4 increased from 33% in 2023 to 53% in 2026, while only 5% said their planned move was on hold.

EXHIBIT 4: **S/4 migration is past halfway, but 43% of ECC remains**



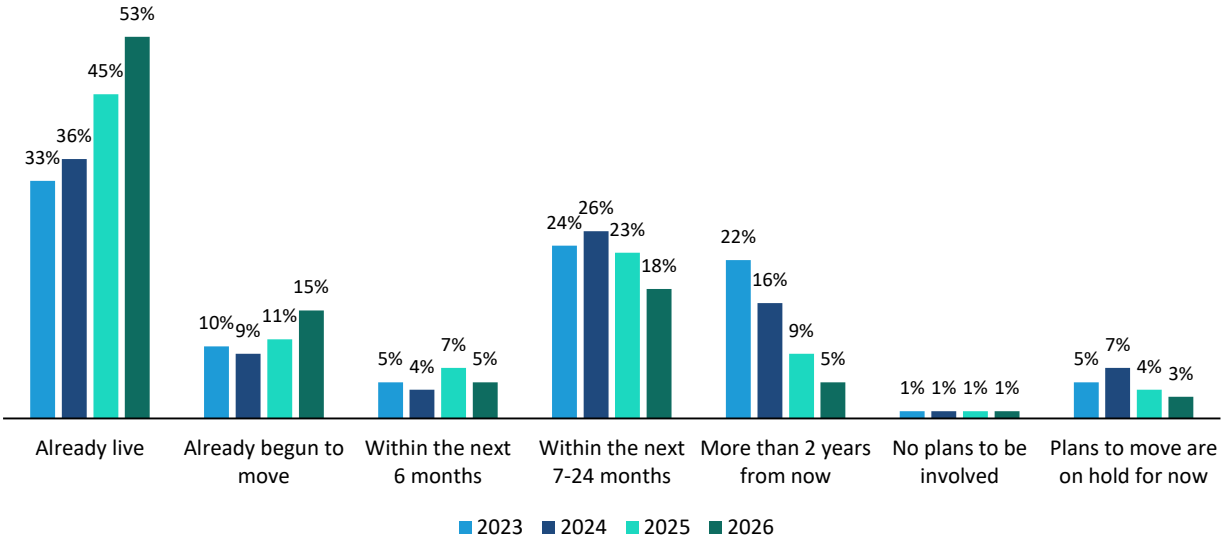
Source: SAP (FY to end-December), Bernstein analysis and estimates

Bull case: An elongated cycle can extend the growth runway

The remaining installed base is still large enough to support several more years of conversion. Large ERP projects take time, and the principal migration barriers include customization, data quality, integration complexity, project duration and change management. These constraints slow individual projects, but they can also spread the opportunity over a longer period.

The migration cycle therefore does not need to peak in 2027 for the investment case to work. Customers can continue moving gradually, creating an extended stream of cloud bookings and revenue rather than a short, deadline-led surge.

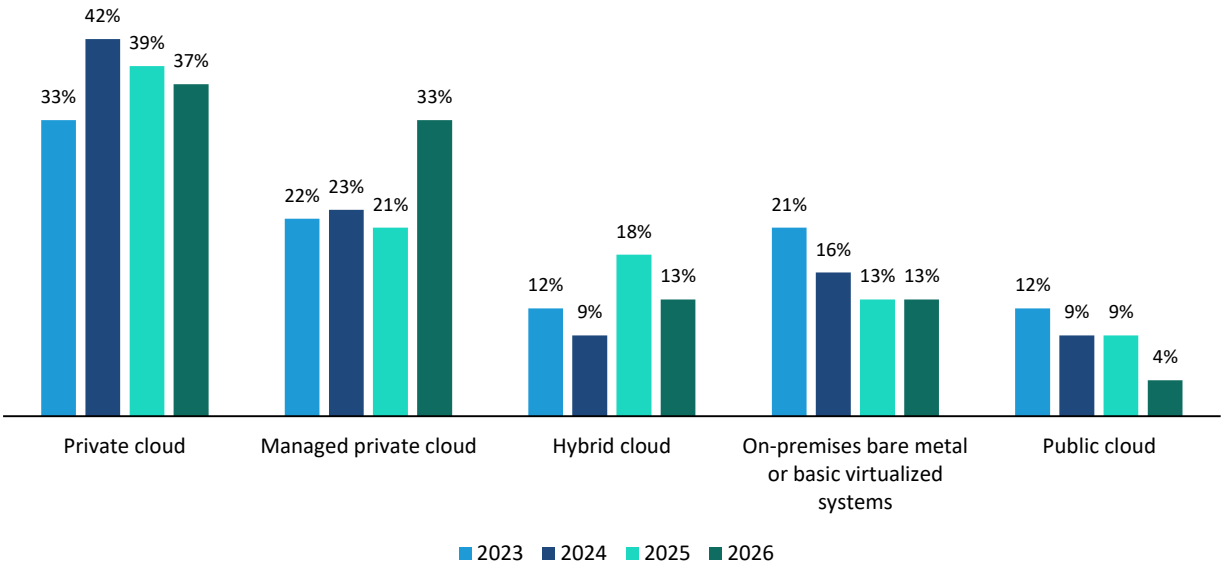
EXHIBIT 5: **S/4 adoption continues to progress, but the migration tail is extending**



Source: ASUG (September 2026), Bernstein analysis

Deployment trends are also increasingly favorable for SAP's cloud model. In the ASUG survey, private cloud remained the largest deployment environment, while the proportion using on-premises infrastructure fell between 2023 and 2026. Our installed-base analysis similarly shows cloud S/4 customers representing a growing share of total S/4 customers.

EXHIBIT 6: **S/4 adoption is increasingly cloud-oriented, but deployment remains fragmented**



Source: ASUG (September 2026), Bernstein analysis

Bear case: Customers now have credible reasons to wait

A longer runway is not automatically a better runway. Customers facing high transformation costs, complex legacy environments and competing priorities may extend project timelines rather than accelerate them.

The maintenance timetable also provides more flexibility than a simple "2027 deadline" narrative suggests. Mainstream maintenance for the relevant Business Suite 7 applications ends in 2027, but extended maintenance and later transition options allow some customers to defer their decisions.

The key caveat is that S/4 migration does not automatically translate into cloud migration. Customers can adopt S/4 across public cloud, private cloud, hybrid or on-premise environments. An on-premise upgrade still generates incremental platform and database revenue, but captures less of the revenue uplift and fewer upsell opportunities available in the cloud. **SAP therefore needs to win two decisions: the move to S/4 and the choice to deploy it in the cloud.** The good news is that Bernstein's CIO surveys suggest the broader direction of travel remains firmly toward cloud adoption.

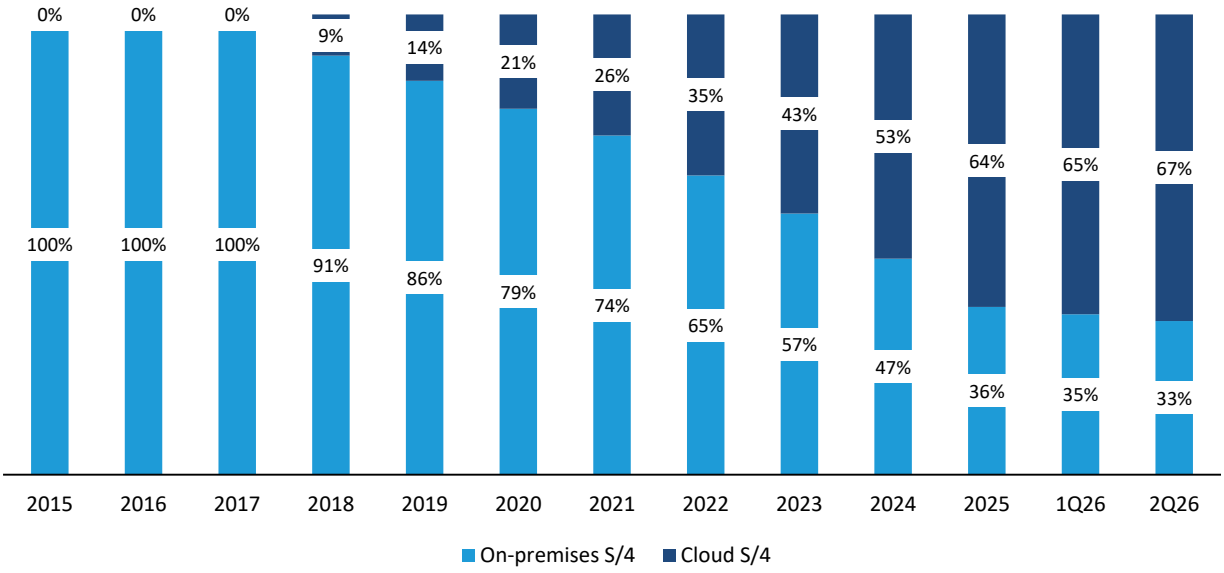
We believe that the more relevant question is no longer how many customers remain. It is how quickly they move and how much economic value SAP captures when they do.

DEBATE 3: CLOUD REVENUE: CONVERSION MATTERS MORE THAN THE QUARTER

The 3Q cloud growth rate should be reasonably predictable; the harder question is whether the backlog accumulated in 2025 and 2026 produces the expected growth profile in 2027.

We forecast 3Q cloud subscription revenue of €6.56bn (+23% cc), broadly matching Visible Alpha consensus. That compares with 1Q's +27% cc and 2Q's +24% cc. SAP's FY26 guidance remains €25.8bn to €26.2bn, representing 23% to 25% cc growth.

EXHIBIT 7: **S/4 is becoming a cloud installed base**



Source: SAP (FY to end-December), Bernstein analysis and estimates

Bull case: Backlog provides visibility into 2027

CCB grew faster than cloud revenue in 2Q, at 26% cc versus 24% cc. That supports the argument that contracted demand remains sufficient to sustain revenue growth as signed projects move through implementation and deployment.

Some large contracts also have longer implementation and testing periods. Their contribution may therefore build gradually rather than appear immediately after signing. The bull case is not that cloud growth must reaccelerate in 3Q. It is that SAP preserves enough backlog momentum through 4Q for those contracts to support the 2027 revenue base.

Under this interpretation, a 23% 3Q growth rate would represent normalization against difficult comparisons rather than weakening demand.

Bear case: Normalization may be structural

The less favorable interpretation is that cloud growth is gradually settling at a lower level as the migration base matures. Cloud revenue growth declined from 27% cc in 1Q to 24% cc in 2Q, while Cloud ERP Suite growth moderated from 30% cc to 27% cc.

None of these numbers are weak. The concern is the direction. If CCB moves towards the low 20s and cloud revenue follows, the 2027 growth narrative becomes increasingly dependent on delayed contract ramps, further migrations and AI upselling rather than already-visible momentum.

The mix is also important. In 2Q, Cloud ERP Suite grew 27% cc, Extension Suite grew 12% cc, and IaaS declined 22% cc. The consolidated cloud number therefore masks materially different product trajectories.

The legacy offset should not be ignored

SAP expects support revenue to decline faster as customers migrate. This means a successful cloud transition simultaneously creates new subscription revenue and reduces the legacy maintenance base.

Investors should therefore look beyond cloud revenue in isolation, in our view. The more complete question is whether cloud growth and its associated gross profit are sufficient to offset accelerating support erosion and produce faster total revenue growth in 2027.

DEBATE 4: AI: CREDIBLE STRATEGY, UNPROVEN MONETIZATION

The strategic debate is no longer whether AI replaces SAP's solutions. It is whether SAP can own and monetize the orchestration layer connecting enterprise data, workflows and AI agents.

SAP is positioning Joule, Business Data Cloud, its knowledge graph and workflow agents as a coordinated enterprise AI architecture. Its objective is not to compete in the foundation-model race. Instead, SAP wants to control the business context, governance and workflow execution that allow models to operate inside finance, procurement, supply-chain and HR processes. For more details, see our report Global Software: The next ERP supercycle: The race to control enterprise execution.

Please note that the overall AI story has shifted, even for the AI Labs (link), from building models to building AI development platforms.

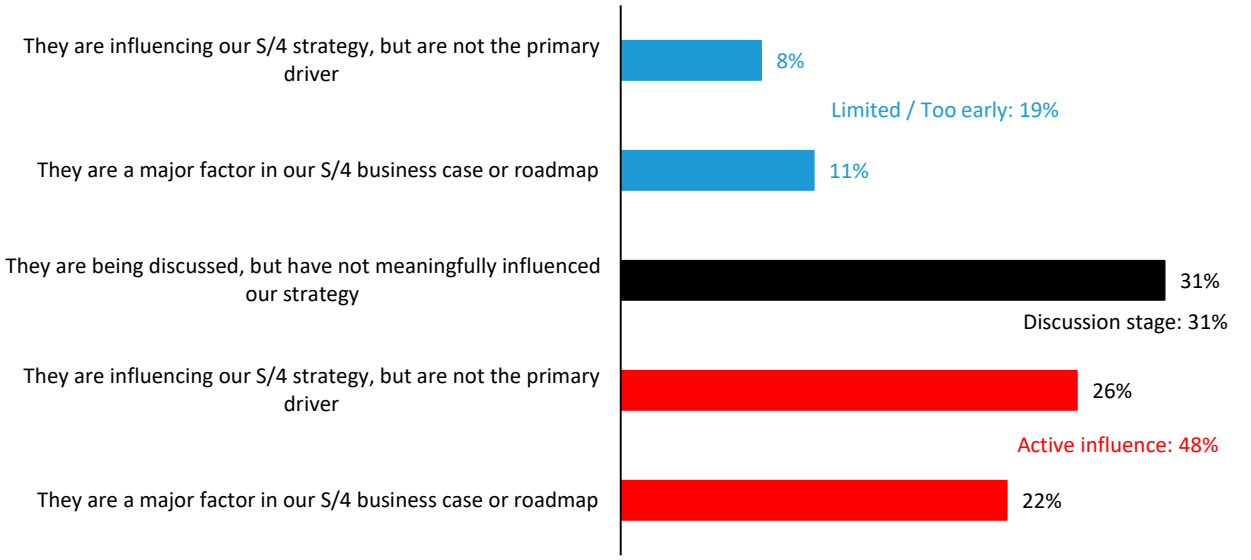
Bull case: SAP owns valuable business context

SAP's strongest advantage is the combination of transactional data, process knowledge, permissions, business rules and auditability embedded in its applications.

That context matters because enterprises need more than answers from AI. They need systems that can interpret business objects, act within approval structures and complete operational tasks without disrupting core processes.

The ASUG survey provides some support for this direction: 48% of respondents said SAP's AI capabilities were already influencing their S/4 strategy, while another 31% said they were under discussion. The highest-value use cases included master-data management, migration and testing support, invoice processing and financial-close automation.

EXHIBIT 8: **AI is already influencing almost half of customers' S/4 strategy**



Source: ASUG (September 2026), Bernstein analysis

Customer caution may also play to SAP's strengths. Only 12% of surveyed respondents were comfortable allowing agents to execute tasks independently, while 44% were comfortable if humans approved actions before execution. SAP's emphasis on governance, permissions and controlled workflow execution is well aligned with that more conservative adoption pattern.

Longer term, agents could also create a new pricing opportunity. If SAP can charge for work performed or value generated, AI could expand monetization beyond conventional user-based subscriptions.

EXHIBIT 9: **Customers want AI agents, but with humans still in control**

	Total	Active influence (SAP AI influencing S/4 strategy)	Discussion stage (SAP AI is being discussed, but not yet influencing S/4 strategy)
Comfortable with agents executing tasks independently	12%	17%	10%
Comfortable if humans approve actions before execution	44%	60%	33%
Comfortable only for recommendations or insights, not execution	27%	22%	40%
Not comfortable using AI agents in core ERP processes	8%	0%	7%

Source: ASUG (September 2026), Bernstein analysis

Bear case: Product relevance is not yet financial proof

The strategy is credible, but monetization remains early. AI may be included in large suite transactions without creating a separately identifiable increase in contract value. Customer interest, beta participation and product inclusion do not establish paid production usage or incremental revenue.

SAP reported that AI and Business Data Cloud featured in more than 90% of its 50 largest 2Q deals. That supports the strategic relevance of the products, but it does not disclose AI contract value, pricing uplift, consumption or gross profit.

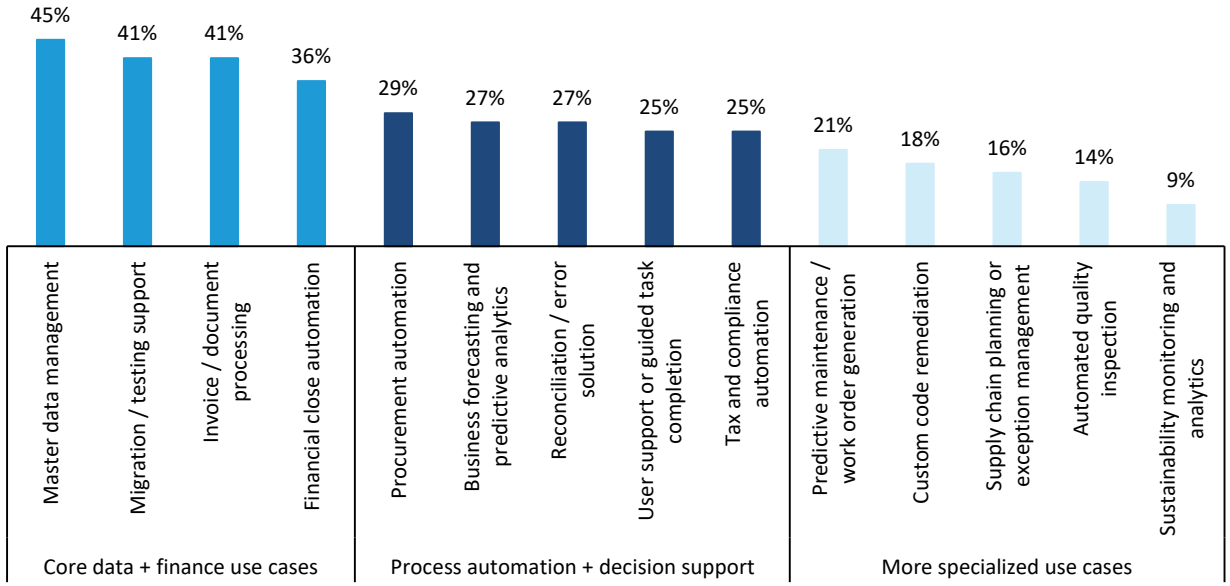
Implementation requirements are another constraint. Reliable enterprise AI depends on clean data, simplified processes, clear permissions and integration across SAP and non-SAP systems. These requirements reinforce SAP's long-term strategic role, but they can also lengthen the period between product launch and material revenue contribution.

There is also a value-capture risk. A third-party AI platform could become the main user interface or orchestration layer while SAP remains the underlying transaction system. SAP would remain essential, but it might capture less of the incremental economic

value.

We believe the right 3Q question is therefore not how much AI revenue SAP generated. It is whether AI is beginning to influence migration decisions, deal scope, platform adoption and customer spending.

EXHIBIT 10: **AI value is concentrated in data, migration and core finance workflow**



Source: ASUG (September 2026), Bernstein analysis

DEBATE 5: AI AND MIGRATION TO S/4: ONE DEBATE, NOT TWO

AI could become the new reason to migrate, but customer evidence still suggests that cost, complexity and organizational readiness remain the main constraints.

The bull case is that SAP's AI capabilities make cloud migration more strategically urgent. Customers with fragmented data and deeply customized systems may struggle to deploy agents reliably. Moving towards a cleaner cloud architecture can therefore improve both the feasibility and potential return on AI investments.

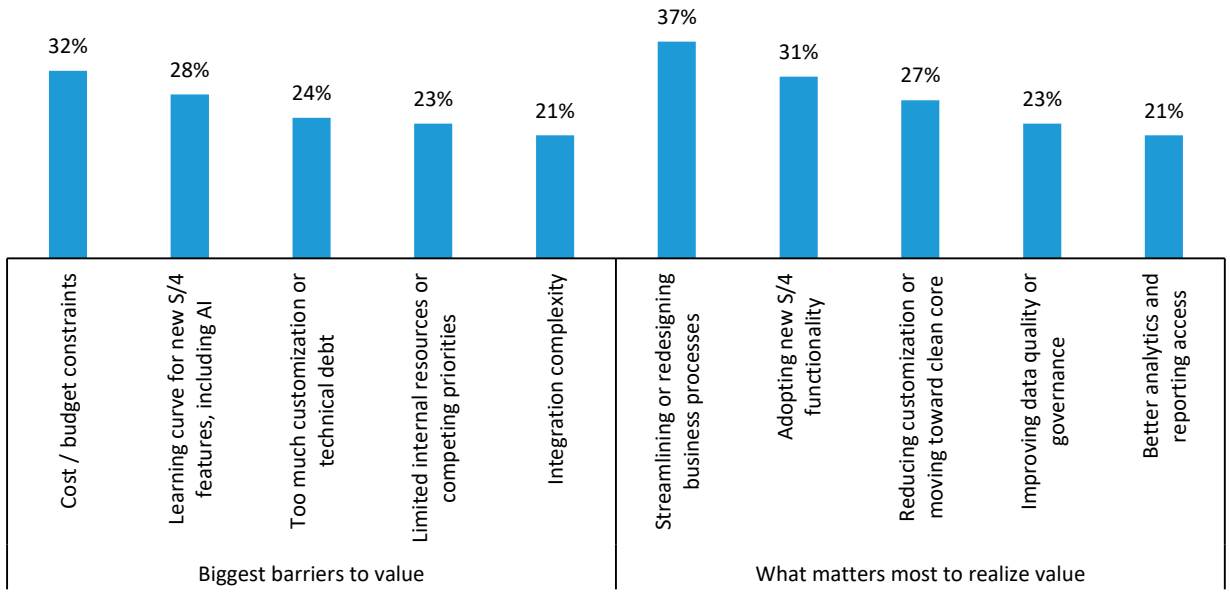
SAP has also said its AI toolchain can reduce ERP migration costs by up to 30%. If that experience proves repeatable, AI will support migration in two ways: by increasing the value of the target environment and by lowering the cost of reaching it. This remains a company-reported benefit rather than a verified installed-base average.

The bear case is that AI remains secondary to the practical realities of transformation. ASUG respondents identified budget constraints, the learning curve associated with new S/4 functionality, customization, limited internal resources and integration complexity as the largest barriers to realizing value.

In that scenario, AI may improve the strategic narrative without materially accelerating implementation decisions. Customers discuss AI, run pilots and include it in roadmaps, but project timing continues to be governed by economics, technical debt and organizational capacity.

The bull thesis is that AI becomes the forcing function previously provided by maintenance deadlines. The bear thesis is that AI strengthens the destination without shortening the journey.

EXHIBIT 11: **AI raises the prize, but economics and complexity still dictate migration timing**



Source: ASUG (September 2026), Bernstein analysis

DEBATE 6: CLOUD MARGIN: TEMPORARY PRESSURE OR A NEW COST CURVE?

After the 2Q decline, cloud gross margin has become a central test of whether SAP can fund AI without weakening the economics of its cloud model.

Non-IFRS cloud gross margin declined to 74.6% in 2Q, down approximately 70bp. 1H cloud gross margin was 74.9%, down approximately 40bp. Cloud gross profit continued to grow, but slightly more slowly than cloud revenue.

Bull case: Scale and productivity can absorb the investment

SAP should benefit from scale as its cloud revenue base expands. Management also argues that it can control AI inference costs by selecting different models for different tasks rather than using the most expensive model for every workflow.

Internal productivity improvements provide another potential offset. SAP has highlighted benefits in software development and several corporate functions. If these efficiencies become recurring savings rather than simply funding additional investment, SAP could protect operating leverage while continuing to expand its AI portfolio.

The economic calculation is therefore broader than AI revenue less inference cost. It includes possible subscription and consumption revenue, development productivity, sales and administrative efficiencies, and the infrastructure costs required to deliver AI services.

AI is a near-term margin investment, not necessarily a structural margin drag. Enterprise adoption remains early, and the incremental cost of delivering AI is weighing on software gross margins. But companies that pair disciplined opex management with AI-driven internal productivity can offset much of the near-term pressure. Longer term, improving scale economics and differentiated AI offerings should allow vendors to monetize AI at healthier margins.

Bear case: The costs arrive before the revenue

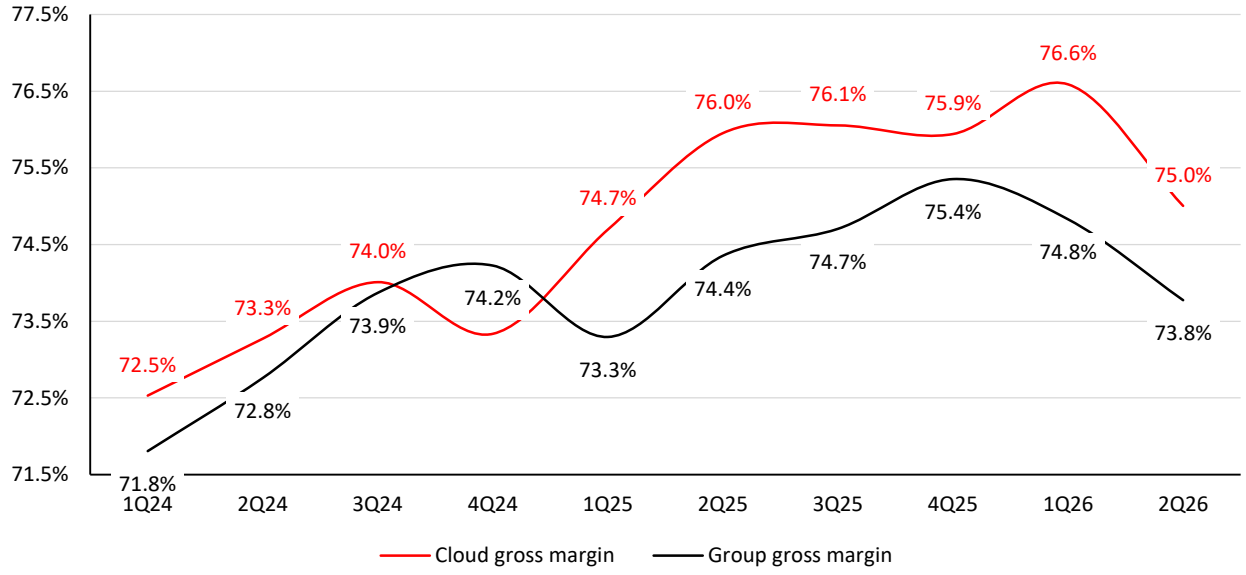
The sequencing is less favorable in the bear case. SAP is already investing in R&D, specialist talent, acquisitions and AI delivery, while meaningful agent-related revenue remains difficult to identify.

Private-cloud and sovereign-cloud deployments may also carry different infrastructure economics from more standardized public-cloud services. However, the available disclosures do not provide a sufficiently detailed cost bridge to attribute the 2Q cloud-margin decline to any single factor.

Investors should therefore avoid assuming that the 2Q decline was either purely temporary or clearly structural. The critical evidence will be a quantified explanation of infrastructure, product mix, acquisition and AI delivery costs.

A cloud gross margin recovery in 3Q would support the view that 2Q concentrated several temporary pressures. Another weak quarter would raise the risk that SAP is entering a more investment-heavy phase before AI monetization becomes material.

EXHIBIT 12: **Cloud gross margin has weakened just as AI investment is accelerating**



Source: SAP (FY to end-December), Bernstein analysis

CONCLUSION: VALUE CAPTURE IS THE REAL DEBATE

The next phase of the SAP investment case is less about how many customers migrate and more about how much value SAP captures when they do.

The core migration engine remains intact. The installed-base runway is still meaningful, customer adoption continues to progress, and CCB growth has remained resilient. AI also gives SAP a credible opportunity to deepen its role in enterprise workflows by combining business data, process knowledge and controlled execution.

But the burden of proof is rising. Customers have more flexibility over timing and deployment. AI demand is strategically encouraging but financially difficult to isolate. Meanwhile, cloud gross margin pressure and additional investment are already visible.

Our interpretation of 3Q should therefore depend less on a single reported number and more on the consistency of the full picture. **A CCB growth result around the 24% consensus, solid cloud conversion and a recovery in cloud gross margin would support the view that SAP enters 2027 with its migration engine intact and AI as credible upside.**

The bear case does not require migration to stop. It only requires the economics to soften longer decision cycles, greater customer concessions, slower AI monetization and higher delivery costs. That is why the decisive question for 2027 is not simply whether SAP continues to grow. It is whether AI expands the value SAP captures quickly enough to offset the declining contribution of the legacy model and the rising cost of building the next one.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: **SAP: FY25-28 estimates**

€m	FY25	FY26e	FY27e	FY28e	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e
Software revenue	990	729	583	467	183	194	161	452	116	131	121	362
Cloud subscription and support revenue	21,023	25,797	32,022	39,312	4,993	5,130	5,290	5,610	5,962	6,281	6,564	6,990
Software and cloud subscription revenue	22,013	26,526	32,605	39,779	5,176	5,324	5,451	6,062	6,078	6,412	6,684	7,352
Support revenue	10,525	9,749	8,923	7,876	2,761	2,642	2,565	2,557	2,469	2,439	2,422	2,419
Cloud and Software revenues	32,539	36,275	41,528	47,655	7,938	7,966	8,016	8,619	8,547	8,851	9,106	9,771
Service revenue	4,261	4,247	4,735	5,430	1,075	1,061	1,060	1,065	1,007	1,027	1,089	1,124
Total Revenue	**36,800**	**40,522**	**46,263**	**53,085**	**9,013**	**9,027**	**9,076**	**9,684**	**9,554**	**9,878**	**10,195**	**10,895**
Cost of Cloud and Software	-6,462	-7,610	-9,013	-10,663	-1,541	-1,587	-1,621	-1,713	-1,767	-1,858	-1,914	-2,071
Cost of services	-3,192	-3,163	-3,575	-4,100	-840	-797	-759	-796	-774	-768	-781	-840
Research and development	-6,629	-7,179	-7,824	-8,766	-1,672	-1,617	-1,643	-1,697	-1,700	-1,843	-1,758	-1,878
Sales and marketing	-8,580	-9,147	-10,132	-11,158	-2,140	-2,088	-2,118	-2,234	-2,083	-2,260	-2,337	-2,468
General and administrative	-1,469	-1,522	-1,632	-1,835	-357	-358	-360	-394	-342	-392	-413	-375
Other	-48	-36	0	0	-8	-11	-8	-21	-22	-14	0	0
Total Operating Expenses	-26,381	-28,658	-32,175	-36,522	-6,558	-6,458	-6,510	-6,855	-6,688	-7,135	-7,203	-7,632
Non-IFRS operating income	**10,537**	**11,865**	**14,087**	**16,563**	**2,455**	**2,569**	**2,566**	**2,829**	**2,866**	**2,743**	**2,993**	**3,263**
Non-IFRS operating margin (%)	**28.6%**	**29.3%**	**30.5%**	**31.2%**	**27.2%**	**28.5%**	**28.3%**	**29.2%**	**30.0%**	**27.8%**	**29.4%**	**30.0%**
Other non-operating income	118	-97	-177	-200	10	-3	46	65	24	-39	-39	-43
IFRS operating income	10,419	11,768	13,911	16,363	2,465	2,566	2,612	2,894	2,890	2,704	2,953	3,221
IFRS operating margin (%)	28.3%	29.0%	30.1%	30.8%	27.3%	28.4%	28.8%	29.9%	30.2%	27.4%	29.0%	29.6%
Financial Income, net	-229	984	-88	276	-83	-42	-43	-61	-58	-61	550	553
Income from continuing operations before tax	10,308	12,752	13,823	16,638	2,382	2,524	2,569	2,833	2,832	2,643	3,503	3,773
Taxes	-3,132	-3,889	-4,147	-4,992	-701	-777	-717	-937	-830	-815	-1,080	-1,164
Income from continuing operations	7,176	8,863	9,676	11,647	1,681	1,747	1,852	1,896	2,002	1,828	2,423	2,610
Net Income	7,176	8,863	9,676	11,647	1,681	1,747	1,852	1,896	2,002	1,828	2,423	2,610
Non controlling interests	-10	2	0	0	-2	6	-6	-8	-1	3	0	0
Net Income attributable to SAP	7,166	8,865	9,676	11,647	1,679	1,753	1,846	1,888	2,001	1,831	2,423	2,610
EPS-Basic - Continued Operations	**6.15**	**7.73**	**8.72**	**10.72**	**1.44**	**1.50**	**1.59**	**1.62**	**1.72**	**1.59**	**2.12**	**2.31**
EPS-Diluted - Continued Operations	6.10	7.71	8.72	10.72	1.43	1.49	1.58	1.61	1.71	1.58	2.12	2.31

Source: SAP (FY to end-December), Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

			8 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
			Closing	Price	Rel.						
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
SAP.GR (SAP)	O	EUR	188.70	273.00	(31.5)%	EUR	6.10	7.71	8.72	30.9	24.5	21.6
SAP (SAP)	O	USD	212.40	319.00	(38.1)%	EUR	6.10	7.71	8.72	31.1	24.6	21.8
EDME			1,567.06									
SPX			7,811.54									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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SAP SE

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year’s time (€9.57), apply a P/E multiple of 28x, and add net cash per share of (€5.1), arriving at price target of €273.

We then value the SAP ADR shares at $319, using the SAP GR price target of €273 and the EUR/USD FX rate at the time of updating the model.

SAP SE

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RISKS

SAP SE

Risks to our price target for SAP ADR include: slower than expected adoption of S/4; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S/4; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

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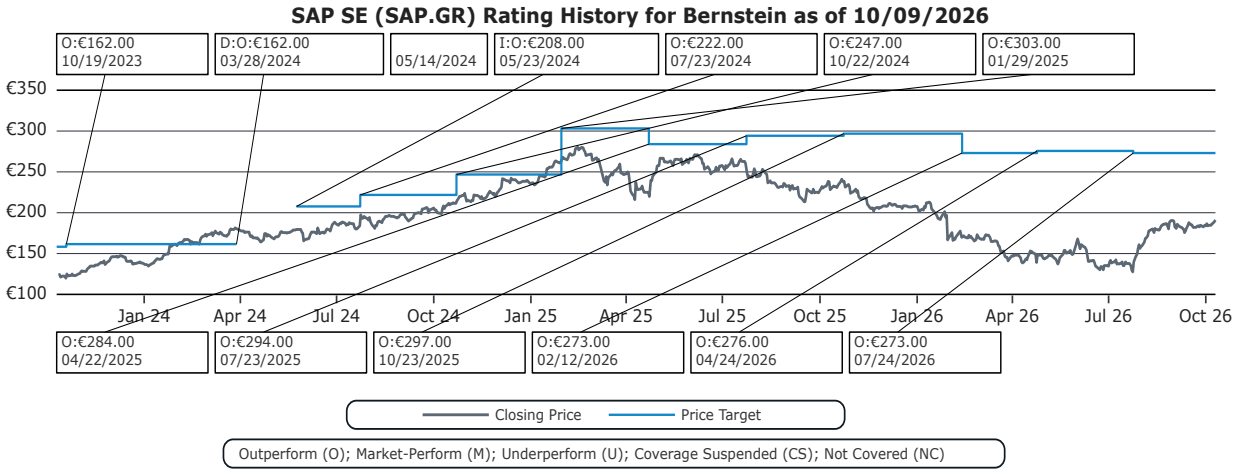
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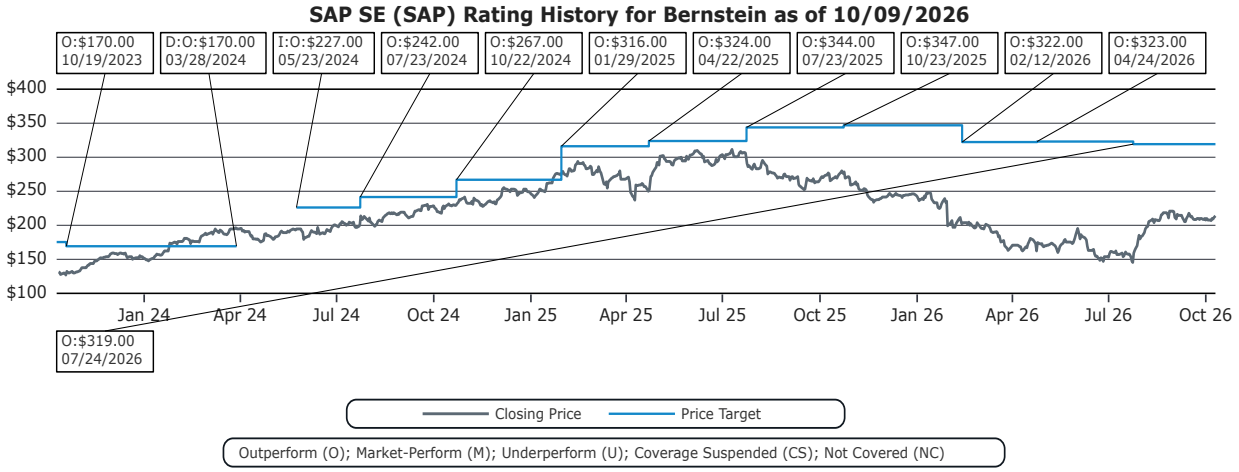
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